ECO403 - Macroeconomics (Quiz No 3)

Question # 6 of 10 (Start time: 01:21:34 PM, 30 June 2025)

In Solow model consumption per person is equal to ----------

Select the correct option

●	(1-s)y.
○	(1*s)y.
○	sy.
○	(1+s)y.

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Question # 5 of 10 (Start time: 01:21:17 PM, 30 June 2025)

Development is impossible without domestic--------

Select the correct option

○	Debt.
○	Unemployment.
○	Inflation.
◉	Savings.

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Question # 10 of 10 (Start time: 01:22:57 PM, 30 June 2025)

An expansionary monetary policy shifts ----------to the---------

Select the correct option

○	IS curve; left.
○	IS curve; right.
●	LM curve; right.
○	LM curve; left.

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Question # 1 of 10 (Start time: 01:19:54 PM, 30 June 2025)

In the IS-LM model, a decrease in money supply shifts ---------

Select the correct option

◉	LM curve to the left.
○	LM curve to the right.
○	IS curve to the right.
○	IS curve to the left.

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Question # 8 of 10 (Start time: 01:22:12 PM, 30 June 2025)

Due to decrease in money supply, aggregate demand curve will:

Select the correct option

○	Become vertical.
○	Remain the same.
●	Shift towards left
○	Shift towards right.

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Question # 4 of 10 (Start time: 01:21:00 PM, 30 June 2025)

In macro-economics the word aggregate means--------

Select the correct option

○	One.
○	Particular.
○	Individual.
◉	Totals.

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Question # 3 of 10 (Start time: 01:20:40 PM, 30 June 2025)

In the IS-LM model, ----------in government purchases shifts ---------curve to the right.

Select the correct option

○	A decrease; LM
○	A decrease; IS
○	An increase; LM
●	An increase; IS

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Question # 9 of 10 (Start time: 01:22:33 PM, 30 June 2025)

In Solow growth model,the slope of production function f(k*) is:

Select the correct option

◉	Marginal product of capital (MPK).
○	Labor (L*).
○	Investment (I*).
○	Capital (K*).

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Question # 7 of 10 (Start time: 01:21:52 PM, 30 June 2025)

In the endogenous growth model, the assumption of ----------return to capital is more plausible.

Select the correct option

○	zero
◉	constant
○	increasing
○	decreasing

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Question # 2 of 10 (Start time: 01:20:17 PM, 30 June 2025)

Which of the following is NOT the policy to increase the saving rate?

Select the correct option

○	Replace federal income tax with a consumption tax.
○	Increase incentives for private saving.
●	Decrease incentives for private saving.
○	Reduce the government budget deficit.